Sandur Manganese & Iron Ores Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Karnataka merchant miner of manganese ore and iron ore from leases in Sandur, Ballari district, which also makes ferroalloys and coke (with waste-heat power) and, through its subsidiary Royal Sandur Metals (formerly Arjas Steel, bought in FY25), special-quality alloy steel at Tadipatri (Andhra Pradesh) and Mandi Gobindgarh (Punjab). It is now starting a medical devices business.

Number	Value	What it means
Market cap	Rs 8,755 cr	What the market values the whole company at (Screener).
FY26 revenue (consolidated)	Rs 5,088 cr	Sales for the year, up 62% as the steel subsidiary counted for a full year.
Q2 FY27 revenue	Rs 1,506 cr	July to September 2026 sales, up 22% on last year.
Q2 FY27 EBITDA (company)	Rs 391 cr, 26% margin	Operating profit up 37% on last year; margin up 2.8 points. Profit after tax Rs 261 cr, up 88%.
Debt	Consolidated debt to equity 0.24; standalone net cash Rs 630 cr	The mining company is net debt-free since March 2026; the borrowing sits mainly in the steel arm.
P/E	About 10x consolidated	The price is about ten years of current earnings: typical for a commodity business.

2. Concall coverage

No concall transcripts were available on Screener. This report is based on a global web deep-dive.

Sources used:

- Screener.in consolidated page for Sandur Manganese & Iron Ores (SANDUMA / BSE 504918): quarterly and annual numbers to Sep 2026. Screener lists earnings-call entries from May 2025 to Nov 2026 but no transcripts; only two old transcripts (2019, 2021) exist
- Q2 FY27 earnings presentation, filed 4 Nov 2026 (BSE)
- Q4 FY26 earnings presentation, filed 7 May 2026 (BSE)
- Q4 FY25 earnings presentation, May 2025 (BSE)

Latest update highlights: Q2 FY27 earnings presentation (4 Nov 2026)

- Consolidated total income Rs 1,519 cr, up 22%; EBITDA Rs 391 cr, up 37%; profit Rs 261 cr, up 88%. Iron ore sales volume up 59% on last year despite the monsoon; manganese ore realisation up 43% on last year.
- Royal Sandur Metals (steel) had another strong quarter: sales volume up 11%, realisations up 5% sequentially. A Rs 220 cr expansion of the Punjab plant (1.20 to 1.70 lakh tonnes a year of special bar quality steel, electric arc furnace route) was approved; the furnace is due in 18 months and the rolling mill in 22 months.
- Mining growth: the downhill conveyor system is complete and capitalised; the beneficiation plant is on plan for commissioning in Q2 FY28; the company has applied to raise its iron ore environmental clearance from 7.85 to 9.42 MTPA.
- New frontiers: Royal Sandur MedTech leased 6.2 acres at the Andhra Pradesh MedTech Zone, with Rs 390 cr capex approved to start making catheters, IV cannulas, syringes and IV sets by December 2027. Hospitality and academy subsidiaries were also set up.
- The remaining 2 of 4 coke oven batteries are being restarted, with commercial production expected in Q4 FY27. Steps are being taken to meet a compensatory afforestation requirement for extending the forest lease beyond December 2026.

Business mix & capacity

Domestic vs export: Not broken out as domestic vs export. The presentations note iron ore exports began in 2024 after export restrictions were lifted; most sales are to Indian steel and alloy makers.

Capacity use: Iron ore output is capped by permits: FY27 plans full use of the 4.45 MTPA maximum permissible production limit. Coke ovens: 2 of 4 batteries running at optimum use; overall coke utilisation was about 46% (May 2026). Ferroalloys: 2 furnaces operating.

3. Earning Trigger thesis

The trigger is volume growth in mining (full use of the iron ore permit, a bigger clearance applied for, beneficiation from Q2 FY28) plus a steel subsidiary that's now earning well and expanding in Punjab. Profit is up sharply. But it's a commodity business: ore prices drive results, and the new medical devices push takes money away from the core.

Trigger	What management said	Evidence so far	Time horizon	Strength
Mining volumes (iron and manganese ore)	Fully use the 4.45 MTPA permit in FY27; apply for more	Iron ore sales up 59% in Q2 FY27	Now to FY28	Strong: in the numbers, but price-dependent
Steel arm (Royal Sandur Metals)	Expand Punjab plant to 1.70 LTPA	Steady volumes and margins; capex approved	18-22 months	Moderate
Coke battery restart	Restart remaining 2 batteries	Commercial production expected Q4 FY27	Q4 FY27	Moderate
Medical devices	Rs 390 cr capex, production by Dec 2027	Land leased Oct 2026	FY28+	Unproven: unrelated to core

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	Yes	'SMIORE has achieved standalone net debt free status as of 31 March 2026' after prepaying Rs 423 cr of NCDs (May 2026 presentation).
New business	Yes	Royal Sandur MedTech: Rs 390 cr capex for catheters, IV cannulas, syringes, IV sets by Dec 2027 (Nov 2026).
Margin up	Yes	Consolidated EBITDA margin up 2.8 points to 26% in Q2 FY27 (Nov 2026).
New management	No	Same MD, Bahirji A. Ghorpade.
New capacity	Yes	Punjab steel expansion approved; beneficiation plant due Q2 FY28; coke batteries restarting in Q4 FY27 (Nov 2026).
Big orders	No	Not an order-book business.
Turnaround	No	Profitable throughout.
Promoter buying	No	Not stated.

The single concrete driver: Higher iron ore volumes up to the full permit limit, with a larger clearance applied for and a beneficiation plant due in Q2 FY28.

3c. Margin bridge

Consolidated EBITDA margin is 26% now versus about 23% a year ago, from higher iron ore volumes, better manganese prices and steel-side cost savings. Ore prices move it (one-off if prices fall back).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
May 2026	Downhill conveyor system operational within H1 FY27	Completed and capitalised in Q1 FY27	Delivered
May 2026	Fully use 4.45 MTPA iron ore limit in FY27	Iron ore sales up 59% YoY in Q2 FY27	On track
May 2026	Restart the remaining 2 coke oven batteries	Work started; production now guided for Q4 FY27	Too early
FY25-FY26	Pay down acquisition debt from the Arjas deal	Standalone net debt-free by March 2026	Delivered
Nov 2026	Beneficiation plant commissioning Q2 FY28	Civil works underway, equipment ordered	Too early

Narrative drift: Management keeps its stated mining and steel projects on schedule, as far as the presentations show. But the story is spreading out: from a miner, to a miner with steel, to now medical devices, hospitality and an academy. With no call transcripts on record, there's no Q&A to test promises against.

5. Bottom line

Durable earning trigger? → YES

A concrete, named volume driver in mining is already in results (profit up 88% in Q2 FY27), with steel expansion and beneficiation following. As a commodity business, ore prices can undo it quickly.

Management consistent? → MAYBE

Stated projects (conveyor, debt paydown) were delivered, but there are no call transcripts to check, and the push into unrelated businesses like medical devices and hospitality is a drift away from the core.

6. Checkpoints for next quarter

- Iron ore sales volume keeps growing on last year in the December quarter
- Forest lease extension beyond December 2026 is secured
- Restarted coke oven batteries are on track for Q4 FY27

This is not investment advice. Do your own due diligence.